

Comilla University

Faculty of Business Studies

Department of Marketing

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An Assignment on Strategic Brand Management: Concepts and Practices in BMW

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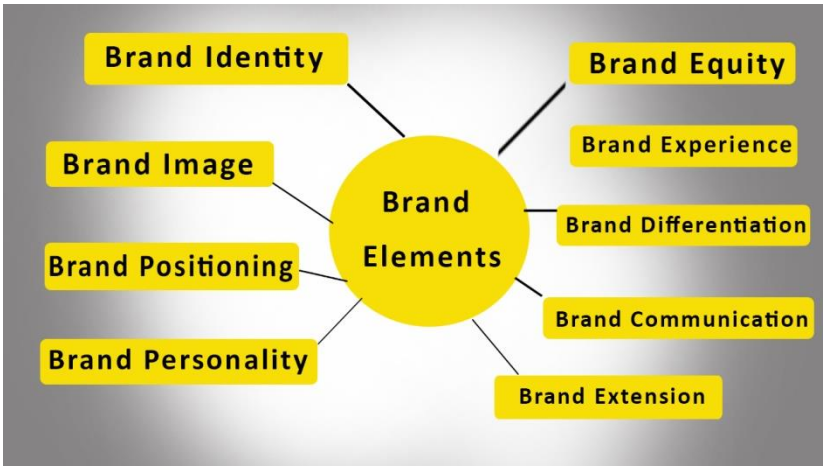
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1. Brands and Brans Management

1.1 Brand : According to the American Marketing Association (AMA), a brand is a "name, term, sign, symbol, or design, or a combination of them, intended to identify the goods and services of one seller or group of sellers and to differentiate them from those of competition." Technically speaking, then, whenever a marketer creates a new name, logo, or symbol for a new product, he or she has created a brand.

Brand Elements: Products are produced in the factory but brands are produce in the mind of customer- "Walter Landor"

A different brand element includes (Brand Names, Logos & Symbols, Characters & Celebrity/Athlete Endorsements, Slogans, Jingles, and Brand Packaging etc.)



Brands versus Products: With its brands, the BMW Group is one of the world's leading premium manufacturers of automobiles and motorcycles and also provides premium financial and mobility services.

BMW as a product: To keep products in the introductory and growth stages, BMW regularly introduces new models for each of its series to keep the entire series "new."

1.2 Can anything be brand?

BMW as physical goods: As physical goods MBW M stands for highly dynamic driving fascination. The passion of its engineers makes BMW M a pioneer in authentic motor racing functionality with exclusive, sporty aesthetic appeal.

The service offering of the BMW: Just like its vehicles, BMW group services are designed for maximum customer orientation and complement the company's innovative mobility offering.

Geographic Location:

BMW is headquartered in Munich and produces motor vehicles in Germany, Brazil, China, India, Mexico, the Netherlands, South Africa, the United Kingdom, and the United States

1.3 Branding Challenges and Opportunities:

Savvy customer of BMW: BMW targets customers from upper class social group as they are the people for whom BMW will be affordable & moreover they will appreciate the masterpiece.

Economic downturns of BMW: The company reported a decline in the balances reported for revenue, gross profit, total operating expenses, operating income, and net income between 2008 and 2009. The decline was caused by the global economic meltdown and volatile economic conditions.

Balance Report: Income statement

	2008	2009	2010	2011	2012
Revenue	53,197	50,681	60,477	68,821	76,848
Total operating expenses	9,381	5,844	6,587	7,309	8,023
Net income	330	210	3,234	4,907	5,096

Increase competition of BMW: BMW Group competitive advantage is based on the following points: 1. Representation of status and achievement. BMW belongs to premium car categories, and accordingly, possession of a BMW model car can be interpreted as a sign of achievement and social status in a society.

Increase cost of BMW: Are BMWs Overpriced? Compared to similar luxury cars, BMWs are not overprice



(EUR)	Jun 2021 ⓘ	Year/year change
REVENUE	28.58B	↑43.10%
NET INCOME	4.77B	↑2,173.48%

2. Customer Based Brand Equity and Brand Positioning of BMW:

The BMW customer based brand equity is equally strong on the left and right hand sides. It is also strong from bottom to top, enjoying the highest brand awareness of a carmaker as well as high repeat purchase rates and customer loyalty. To a certain extent BMW has successfully focus on both the superior product attribute and the imagery associated with owning and driving BMW

2.1 Sources of Brand Equity:

Brand Awareness of BMW: BMW is a textbook example of the branding strategy called branded house. This means the customer prefers the parent brand then chooses from the models.

Brand image of BMW: The current brand positioning of BMW is based around a slogan; “The Ultimate Driving Machine”. On the surface, it seems overly one dimensional, decidedly unimaginative. Yet if we discard rational interpretation and switch to an emotive one, what does it say? It says power.

2.2 Identifying and Establishing Brand Positioning

Basic concepts of BMW: The current brand positioning of BMW is based around a slogan; **"**The Ultimate Driving Machine"

Target market of BMW: BMW targets customers from upper class social group as they are the people for whom BMW will be affordable & moreover they will appreciate the masterpiece.

What type nature of competition of BMW: BMW mainly competes in the luxury car segment with rivals such as Mercedes-Benz, Lexus and Audi.

POPs and PODs of BMW:



Points-of-Parity: Garman Automaker, Quality Engineering, Stylish & sleek designs, Attractive

Points-of-Difference: History and heritage, Characteristics symbol, Number of variants, Luxury with performance efficiency. BMW and Mercedes-Benz must have associations in common with their competitors (POPs). BMW is involved in multiple motorsport competitions such as "Le Mans 24 Hours" and "Dakar Rally".

2.3 Good Positioning Guideline that BMW Follow:

Competitive frame of reference: BMW is the direct competitor of Mercedes.

Choosing points of difference: BMW to differentiate itself from other automakers in the market is the proactive usage of technology and innovativeness in the development of products. History and heritage, Characteristics symbol, Number of variants, Luxury with performance efficiency

Straddle positioning of BMW: Performance plus luxury = BMW

Updating positioning over time: BMW usually releases up to 3 new versions per year and recommends performing a BMW map update every six months, or annually at the very least.

How can BMW develop a good positioning? BMW has shifted its position as “the ultimate driving machine” to “sheer driving pleasure” that refers to a gradual movement from the emphasis on automobile performance to the involvement of customers and taking emotional factors into serious consideration.

2.4 BMW brand mantra

The BMW slogan “Sheer Driving Pleasure” has evolved over the years from various brand claims in German.

3. Steps of Brands Buildings Blocks of BMW:

3.1 Brand salience: High awareness, German marvel, best in the class, excellent finish. Consumers think BMW for performance and luxury. BMW implemented a different marketing mix to sell cars to different socioeconomic segments, aggressively emphasizing premium segments.

3.2 Brand Performance: Exceptional customer service, good recall value, less maintenance, less polluting, superb on road performance. BMW is prioritizing quality across its value chain to ensure the German carmaker maintains and improves customer satisfaction and needs.

3.3 Brand Imagery: Historical and classic image: since 1916, associated with racing events and rallies. BMW makes it a point to create vehicles that are beautifully designed, and don't skimp on the quality. BMW's all-wheel-drive is one of the top systems in the world. People who drive BMWs and wear expensive suits must surely occupy roles of power and authority.

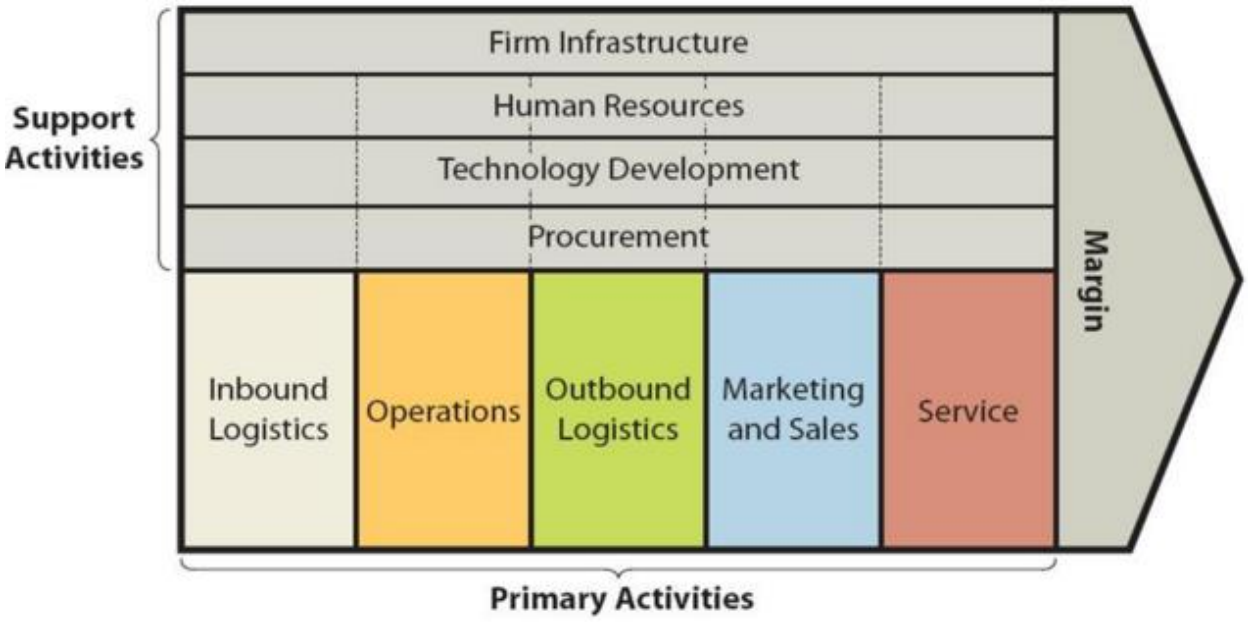
3.4 Brand Judgment: State of the art technology and quality: world class car innovation, and design, clever design, simple to operate.

3.5 Brand Feelings: Social approval and self-respect, environment concern.

3.6 Brand Resonance: Top notch quality and comfort: high loyalty, high repeat purchase.

3.2 Brand Value Chain of BMW:

Value chain analysis is an analytical framework that can be used to identify business activities that can create value and competitive advantage to the business.



BMW Value Chain Analysis

4. Choosing Brand Elements to Build Brand Equity

4.1 Criteria for Choosing Brand Element:

Memorability: BMW serves purely as a status symbol for some, while for others it's a belief in the mantra “The Ultimate Driving Machine” and philosophy of high revving engines.

Meaningfulness about BMW: BMW is the acronym for Bayerische Motoren Werke AG or in English, Bavarian Motor Works. It's an independent German company and manufacturer of automobiles and motorcycles.

Likability of BMW: The BMW M2 Competition replaces the standard M2 as the entry-level BMW M model. It's the most fun and predictable car we've ever reviewed, with an all-star chassis. It's not luxurious or particularly comfortable, but we love it.

Transferable of BMW: The BMW Group culture is having the passion in order to build new paths, thinking ahead and breaking new ground.

Adaptable of BMW: The BMW shows how we can give new technologies a very modern and emotional design. The car is technologically complex, but it feels very clear and uncomplicated. The BMW offers a mobile living space in which people will feel at ease, where the car intelligence is only there when you need it.

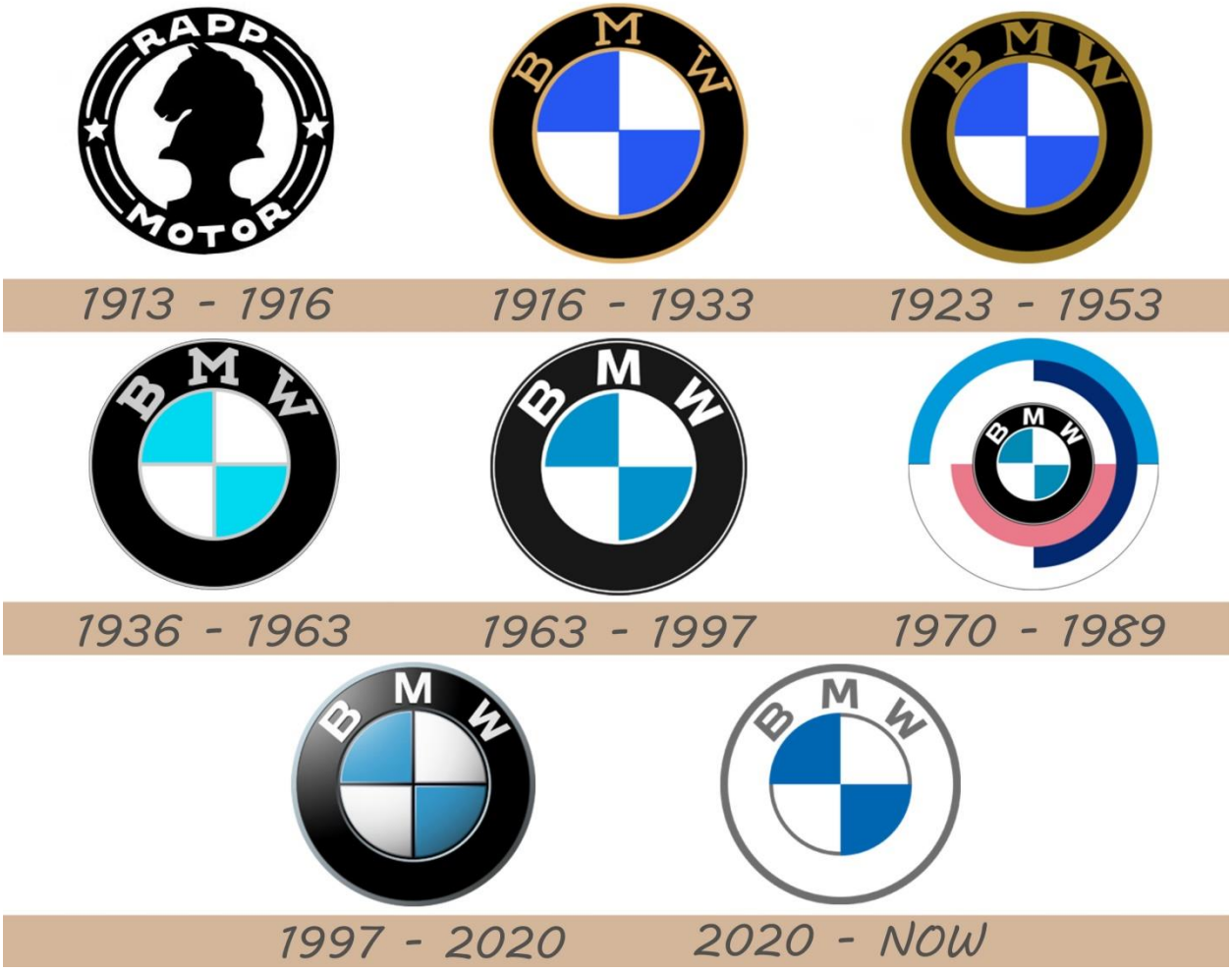
Protect ability: Their legal department is a dynamic fount of specialist knowledge where our team of expert lawyers and legal professionals work hand in hand with their international counterparts to deal with all the multifaceted challenges they face as a truly global automotive brand.

4.2 Brand Element of BMW:

Brands Name: Bayerische Motoren Werke AG, commonly referred to as BMW, is a German multinational corporate manufacturer of luxury vehicles and motorcycles headquartered in Munich, Bavaria, Germany.

URLs: The international BMW website (https://www.bmw.com/en/index.html)

Logos and Symbols:



The first key to the meaning of the BMW logo are its colors: white and blue are the colors of the State of Bavaria in Germany, home of BMW. A 1929 BMW ad depicts the BMW emblem, complete with the four colored quadrants, in a spinning airplane propeller. The interpretation that the BMW logo represents a propeller has endured ever since.

Slogan:

The BMW slogan “Sheer Driving Pleasure” has evolved over the years from various brand claims in German. The term “pleasure” first appeared in the 1930s in BMW ads.

5. Designing Marketing Programs to Build Brand Equity of BMW:

5.1 Product Strategy of BMW:

Perceived Quality: One of the biggest reasons that drivers tend to pick BMWs is its long history of innovation, safety, quality, value, performance, environmentally friendly/green, design/style and technology. In fact, BMW does its best to always push the envelope by constantly innovating. The company's goal is to create the best possible vehicle, and it is clear when you look at any of its products.

After marketing: The BMW Group forged ahead with digitalisation of its sales and marketing last year, partly in response to the coronavirus pandemic and customers’ desire for the sales process to be as contact-free as possible: Sales representatives in more than 60 markets are now able to advise customers and sell vehicles from any location. They can configure vehicles together with the customer using a shared screen, for instance, or give them a virtual tour of the cars they have in stock.

BMW has been Consumer Price Perceptions: The first pricing strategy that is used by the company is value pricing. The BMW Group often charges a premium price which is intended to assure consumers a high quality of the products. In this scenario, the company makes use of the price-quality relationship to set prices of products.

Setting Prices to Build Brand Equity: The highest in luxury vehicle sales satisfaction with a score of 891 in a customer satisfaction survey conducted by JD Power. That’s why BMW marketing activity is devoted to finding ways to encourage trial and repeat purchases by consumer.

5.2 Pricing Strategy of BMW:

We know the luxuries brand they has positive relationship between product price and quality. In this situation, the company makes use of the price-quality relationship to set prices of products. This relationship implies that high prices match with high quality. The second strategy is prestige pricing. This strategy makes it possible for the company to charge prices based on customer perception of the product and not the costs. In this scenario, the consumers will be willing to pay higher prices for the right image rather than the actual value of the product.

6. Integrated Marketing Communications to Build Brand Equity of BMW:

6.1 Major Marketing Communication Option:

Advertising: BMW Group adopts a marketing campaign of targeting its customers. In the slogan "The Ultimate Driving Machine" and "Sheer Driving Pleasure". BMW tells its customers and other people that BMW cars give a pleasure in driving that no other car can give.

Promotion: There is always some exclusivity in the advertisement of the company. The ads are more focused on the looks and style of the car. The company also focuses on customer satisfaction and every time a customer purchases the car, they always create some memorable moments for the customer.

Online Marketing Communication: BMW is eager to widen their potential audience by creating content that engages consumers beyond cars and "gets to the point". The brand sees a mobile-first, content-oriented approach which will help attract a broader audience and claims the recent prelaunch of its website has already increased mobile visitors by 27%.

Events and Experience: Simply BMW pick one of customer exciting, tailor-made event packages or take advantage of our online event configurator to create a customized event to meet our own personal needs.

7. Secondary Brand Associations to Build Brand Equity of BMW:

Since BMW is originated in Germany, the country of origin becomes linked to the brand and generates positive secondary associations. More specific, Germany has become known for

expertise in engineering. Thus, BMW was able to create a strong point of difference in part because of consumers' identification of and beliefs about Germany's expertise in engineering.

7.1 Country of Origin and Other Geographic Area of BMW:

The acronym BMW stands for Bayerische Motoren Werke GmbH, which roughly translates to the Bavarian Engine Works Company. The name harks back to the company's origin in the German state of Bavaria.

7.2 Channel of Distribution:

The model of distribution channel used by BMW is very simple



The central purpose of this distribution channel is to expand accessibility to the customers and add value to dealers. Dealers are in charge of providing additional expenditure of promotional purpose on top of ad campaigns that BMW carries out. Handling delicate showrooms in order to deliver unforgettable buying experience and provide after-sales services are some of the values dealers add on BMW cars. Graph shows the distribution of the media the dealers choose in promotional campaigns.

7.3 Co- Branding:

There are many reasons why this partnership made sense. They both seek the sophisticated, professional and successful demographic of buyers, using quality as the reflection of their hefty price points. The agreed deliverables of the partnership included a BMW sports car model (the BMW i8) and a Louis Vuitton exclusively-designed four-piece set of suitcases and bags that fit perfectly into the car's elegant boot (a nice addition we wouldn't say no to!).Keep in mind, this collaboration not only interests the likes of luxurious individuals who enjoy nice things, it also targets the money-conscious who might not feel comfortable purchasing $20,000 of designer

bags. This being said those ‘money-conscious’ buyers are still willing to buy a $180,000 car, not quite realising the gorgeous leather totes in the back are incorporated into this price. Hence – investing in the dream vehicle and envisioning free Louis Vuitton. Designer brand 1, buyer 0.

7.4 Licensing:

In their licensing business model they offer fully developed products for licensing from vehicle platforms, engines, single component, and production technology up to know-how transfer. The license contract can be tailored to your specific program and market requirements as appropriate. Benefit from high-quality solutions without the high investment of developing new R&D solutions. We support you as a development partner with a centralized approach, expertise and a network you can trust.

7.5 Celebrity Endorsement:

The master blaster has been seen on a TVS Victor and in the Fiat Palio/Siena, as a brand endorser of course. After retirement, Sachin Tendulkar is associated with the BMW brand of sporty luxury cars.

Bollywood’s badshah Shahrukh Khan also has a long line of BMWs. Amitabh Bachchan had been operated upon and brought back to life, after his lethal accident on a movie set.

8. Developing a Brand Equity Measurement and Management System or Brand Equity Measurement of BMW:

8.1 Conducting Brand Audits:

This automotive giant is constantly on the move. In fact, continual innovation is one of the reasons BMW has managed to top the automotive industry's charts for so many years. But innovation doesn't stop in the factory. The company provides their dealership network with the great tools, insight, guidance and marketing materials that are needed to drive innovation locally as well as globally.

For example, BMW knows that their customers value design and technology. To enhance the local customer's brand experience BMW recently remodeled their official dealerships. These new

showrooms feature large video screens, warm beige interiors and elegant displays to make customers feel like they're in a friendly and luxurious space.

8.2 Designing Brand Tracking Studies:

If you are one of the dozens of people a year who order a custom BMW from us,then you are probably wondering what the production process is from order creation and vehicle production status to vehicle delivery at destination port on the West Coast (after processing through customs) and then your garage. We want help make the process as simple and seamless as possible, so you can clean out your garage in anticipation for the big day. Below you will see a gallery of images as well as a laid out process that will show you how to login to the BMW website, how to track the order process, shipping schedules, plus a status update and the timeline of your order.

8.3 Establishing a Brand Equity Management System:

When it comes to marketing, BMW employs a tactical and multi-channel approach to reinforce the brand's unique values and increase brand equity. In fact, BMW leverages a variety of print and digital activities to maximize marketing coverage entice prospective consumers and keep current customers coming back for more. BMW's secret to local marketing starts with the right marketing mix:

1) TV and Radio Advertisements:
   Long-range and mid-range television and radio advertising are one of BMW's go-to tactics to increase brand exposure. Special promotions like the BMW Road Home Sales Event encourage customers to take advantage of a limited-time offer for select models. Here, BMW's advertising budget helped light up the airwaves with impression-generating spots. The value in local marketing is obvious. More impressions from ads about BMW's great car lineup means dealers don't even have to do much marketing to already have a step up with customers.
2) On-Premise Marketing Material:

The BMW brand team makes sure that local dealerships are dressed up with on-premise marketing materials including stanchions, banners, fact sheets, table toppers, warranty cards and more. These materials always showcase BMW's distinct sleek look and feel. Using high-resolution photos, the brand's choice of modern fonts and fresh messaging, the brand captures the true spirit of automotive engineering even in something as humble as a brochure.

3) Direct Mail & Email:

   BMW dealers really get involved in the marketing game when it comes to direct mail and email. These channels are an exceptional local marketing and brand equity boosting tactic. To pull this off, BMW invests in creating high-quality direct mail pieces such as postcards and door drops. BMW also equips local dealers with convenient and easy-to-use email marketing templates.

Maintaining Brand Equity is Difficult, Even for "The Ultimate Driving Machine"

Of course, not every franchised organization has the budget or resources to create the same kind of brand equity that BMW has achieved overnight. Younger brands haven't necessarily proven their product, service or value to the customer quite yet. To combat this, many marketers naturally front-load brand equity building through large-scale campaigns that are produced by a third-party agency or the central marketing team.

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